Labor Regulation, Enforcement, and Insurance

Labor II — Week 9

Teaching deck draft

Central question and week repositioning

- Week 9 asks how labor economists should study labor regulation as a coherent field rather than a bucket of policies.
- The core objects are contracting, separations, compliance, search, insurance, and information.
- The lecture sits between Week 8 institutions and Week 10 aggregate adjustment because regulation changes both.

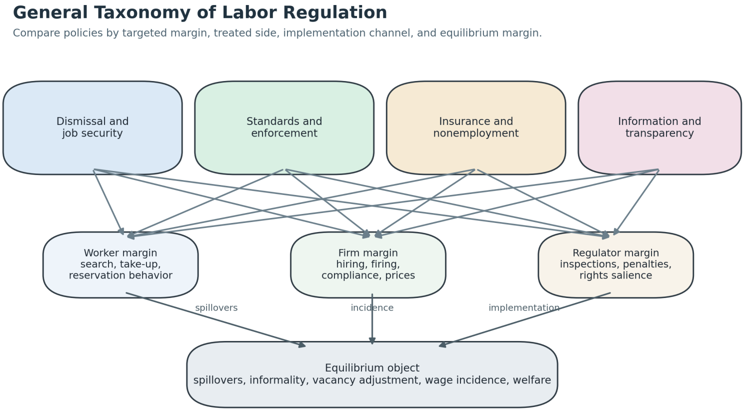
Week 8 to Week 9 bridge

- Week 7: wage floors as targeted wage-setting rules.
- Week 8: collective bargaining as organized worker voice inside the employment relationship.
- Week 9: the broader legal environment for dismissal, compliance, insurance, and information.
- Week 10 will scale these mechanisms up to layoffs, recalls, vacancies, and aggregate shocks.

The four questions for the week

1. What is a useful taxonomy of labor regulations?
2. How do policies affect workers, firms, and regulators simultaneously?
3. When are laws effective once enforcement, salience, and uncovered margins matter?
4. What are the spillover, inequality, and welfare implications?

General taxonomy of labor regulations

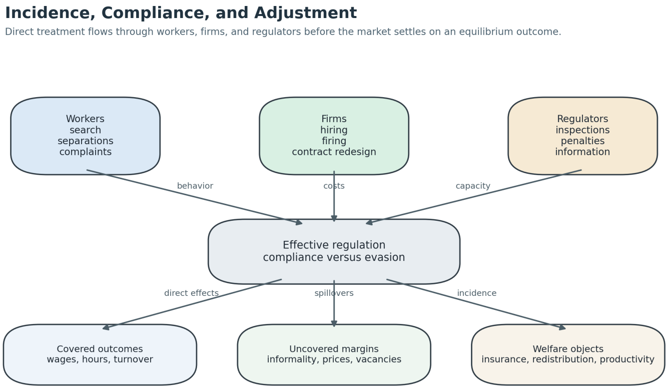


A common regulation wedge

$$w_{it}^{net} = w_{it}^{gross} + b_{it} - \tau_{it}^{worker}, \qquad c_{it}^{firm} = w_{it}^{gross} + \tau_{it}^{firm} + \kappa_{it}^{comp}$$

- Regulations change the mapping between worker value, firm labor cost, and transfers.
- Some policies move benefits, some penalties, some compliance costs, and some beliefs.
- The first question is which wedge moves and which margin absorbs it.

Worker-side, firm-side, and regulator-side margins



- Direct treatment is not the whole policy object.
- Vacancies, prices, informal work, and contract substitution are equilibrium margins.

Employment protection and dismissal costs

$$J_{jt}(s) = p_{jt} - c_{jt}^{firm} - \phi_{jt}^{D}\mathbf{1}\{s=1\}$$

- Higher dismissal costs can reduce job destruction and reduce job creation.
- Relevant observed margins: job flows, tenure, temporary contracts, entry, and productivity.
- Autor-Donohue-Schwab and Autor-Kerr-Kugler use state legal variation to study these wedges.

Law on the books versus effective regulation

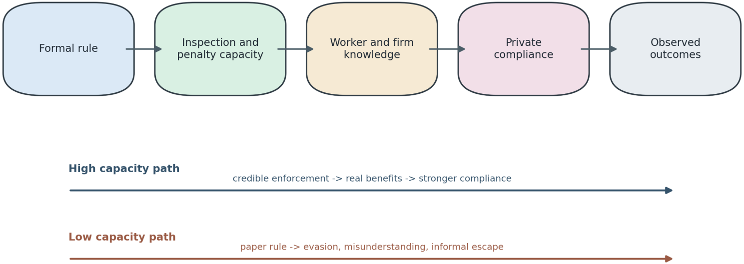
$$R_{rt}^{eff} = R_{rt}^{law} \times E_{rt} \times K_{rt} \times P_{rt}$$

- Effective regulation depends on enforcement, knowledge, and compliance.
- The same legal rule can bind strongly in one place and weakly in another.
- This is why inspections, complaints, and salience are first-order labor-market objects.

Enforcement, compliance, and capacity

From Statute to Effective Regulation

Implementation is cumulative: weak capacity or low knowledge can make the same rule bind very differently.

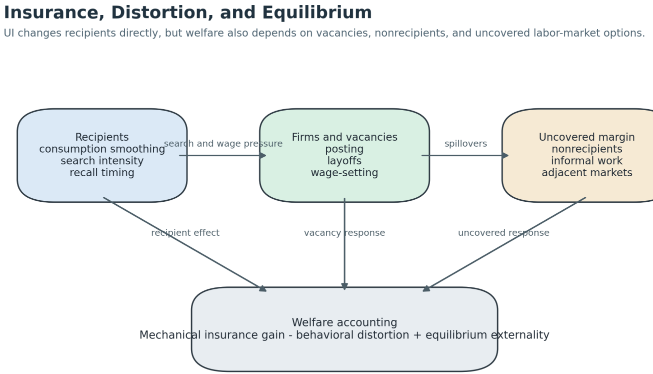


Insurance and equilibrium effects

$$\Delta W = MI - BD + EE$$

- MI: mechanical insurance gain.
- BD: behavioral distortion cost.
- EE: equilibrium externality on vacancies, nonrecipients, queueing, or informal work.
- UI is not only a recipient policy once labor-market tightness moves.

Insurance, distortions, and uncovered margins



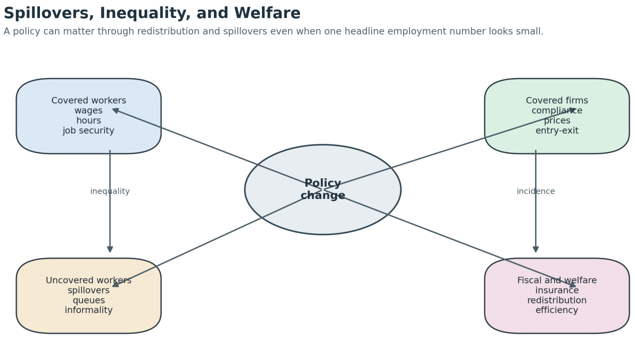
Information, transparency, and rights salience

- Information can change behavior even when formal legal rights do not change.
- Bertrand-Crépon: labor-law advice shifts firm beliefs and employment.
- Cullen: pay transparency can change bargaining, coworker gaps, search, and employer competition.
- Information-based regulation belongs inside labor economics because it changes outside options, complaints, and wage-setting.

Empirical designs and what they identify

Design	Unit	Best object	Main latent channel
Legal reform / event study	State-year / worker-region	doctrine or statutory change	bundled reforms and trends
Threshold / kink	Worker spell	local insurance or eligibility effect	behavior away from cutoff
Enforcement shock	Firm / locality	effective regulation	endogenous state capacity
Information intervention	Firm / worker	beliefs, salience, complaints	diffusion and redesign
Equilibrium design	Region / market	spillovers on untreated workers	full market counterfactual
Formal-informal transition	Worker spell / locality	uncovered-margin adjustment	value of informal options

Effectiveness, spillovers, inequality, and welfare



- Small employment effects do not imply small welfare effects.
- Distribution, insurance value, price incidence, and uncovered workers matter.

Why papers disagree

- They study different regulations.
- Enforcement regimes differ.
- Uncovered margins differ.
- Equilibrium assumptions differ.
- Welfare criteria differ.

Bridge to Week 10 aggregate adjustment

- Dismissal rules shape layoffs, recalls, and hiring.
- UI changes vacancy posting, queueing, and unemployment duration.
- Enforcement capacity shapes formal versus informal adjustment.
- Information changes search and wage competition.
- Week 10 scales these institutional mechanisms up to aggregate shocks.

Takeaways

- Labor regulation is best studied as a framework linking wedges, implementation, and equilibrium adjustment.
- Law on the books is never enough; enforcement, knowledge, and compliance are part of the treatment.
- Covered and uncovered margins must be analyzed together.
- Welfare depends on insurance, distortion, redistribution, and market structure, not only on employment.

Appendix: Week 9 lab bridge

- Reproduce: an Almeida-Carneiro style enforcement and formality panel.
- Diagnose: why a partial-equilibrium enforcement estimate differs from a Lalive-Landais-Zweimueller equilibrium UI estimate.
- Transfer: synthetic UI spillover and formality-margin designs.
- Keep the object explicit: dismissal, standards, enforcement, insurance, or information.